



AD PERFORMANCE & KPI ANALYSIS





KEY AD METRICS TO MONITOR (KPIs)

Understand these before judging your ad performance::

- ▶ Reach: How many people saw your ad (e.g., 1,000).
- ▶ Impressions: Total times your ad was displayed.
If $\text{Impressions} \div \text{Reach} \geq 2-3$, your ad is showing to the same people multiple times.
- ▶ CPM (Cost per 1,000 Impressions): Influenced by market competition and demand.
- ▶ CTR (Click-Through Rate): Good: Above 1-2%.
Low CTR → Bad creative or targeting mismatch.
- ▶ CPC (Cost per Click): High CPC → Bad targeting or weak creative.
- ▶ CPA (Cost per Acquisition/Sale): The cost to get a customer.
- ▶ ROAS (Return on Ad Spend): Should be > 2 to be profitable.
Example: Spend \$20 → Earn \$60 (3X ROAS).



FUNNEL FORMULA (DIAGNOSING NO SALES)

To find where the problem is, check each step:

- ▶ CPM: Are you paying too much to reach people?
Reach: Is your audience big enough?
- ▶ Impressions: Are people seeing your ad enough times?
- ▶ CTR/CPC: Are they clicking?
- ▶ Website Visits: Are they landing on your page?
- ▶ Landing Page Views: Are they actually seeing the product page?
- ▶ Add to Cart (ATC): Are they interested enough to add the product?
- ▶ Checkout Initiated: Are they starting checkout?
Purchases: Are they completing?